



33 Unit Multifamily Development

9850 EAST GIRARD AVENUE | DENVER, CO 80231

Offering Memorandum

October 2017

Marcus & Millichap

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Executive Summary

OFFERING SUMMARY

Property Address:	9850 East Girard Avenue Denver, Colorado 80231
Property Type:	Fully Entitled Development Land
Proposed Project:	Multifamily - 33 Units
Land List Price:	\$1,250,000
Estimated Project Cost (Inc. Land):	\$5,531,760 (\$4,281,760 + \$1,250,000)
Land Price Per Unit:	\$37,879
Project Cost Per Unit:	\$167,629
Year 1 CAP Rate:	7.78%
Year 1 NOI:	\$480,138
Estimated Operating Expenses:	\$4,476/Unit
Lot Size:	0.78 Acres (34,076 SF)
Price Per SF Land:	\$36.68/SF
Parking Ratio:	1.25/1,000 SF
Zoning:	B3, Denver County
Financing:	Property will be delivered free & clear
Confidentiality Memorandum & Disclaimer:	Please read the full disclaimer and execute the confidentiality agreement.
Property Tours:	Property tours are available upon request. To schedule a property tour please contact the respective listing brokers.

INVESTMENT OVERVIEW



Marcus & Millichap is pleased to present this offering for the sale of the development of 33 units located at 9850 E. Girard Avenue, Denver, CO 80231. The development consists of 34,076 SF of land, fully entitled and ready to develop 33 units of multifamily, located right off of Hampden Avenue and Havana Street in Denver, CO. The property has been fully vetted and entitled for the proposed development. The proximity to the Denver Tech Center, the University of Denver and Cherry Creek, with quick access to both I-25 and I-225, make this a fantastic location for workforce, student or young professional housing.

The proposed development would be 33 units (24 two bed/two bath, 3 two bed/1.5 bath, 6 one bed/one bath). All units are proposed to have their own washer/dryer hookups, a patio/balcony, 9-10 foot ceilings and covered parking for some. The building would be fully enclosed and have an elevator, an amenity that is unique to the area. The proposed development would be the first new development in the area in over 25 years.



Location and Market Overview

AERIAL MAP



DENVER, COLORADO MARKET OVERVIEW



Denver is at the center of Colorado's Front Range, nestled at the convergence of the Great Plains and the majestic Rocky Mountains. Most of the metro is situated east of the mountains. The Rocky Mountains act as a formidable barrier, protecting the metro from many strong Pacific winter storms. The eastern and northern reaches of the metro are expected to receive the majority of future development, as land in these areas is relatively flat and affordable. Denver's elevation of 5,280 feet above sea level provides it with the nickname: "Mile-High City."

The Denver-Aurora-Broomfield metro consists of Broomfield, Arapahoe, Denver, Adams, Douglas and Jefferson counties. Denver, which is both a county and a city, is the largest of each, with more than 669,800 residents. The entire metro is expected to post an average population gain of 6.5 percent during the next five years.

Denver's economy is expanding, with the annual change in the metro's gross metropolitan product (GMP) expected to reach 3.8 percent this year. Retail sales rose an estimated 4.4 percent last year, above the national average growth. The area benefits from its position as a regional business and government hub. The state capitol is located in Denver, and the metro is home to ten Fortune 500 firms.

Key drivers of the region's economy include aerospace, bioscience, energy, financial services, healthcare, aviation, information technology and software development, and telecommunications. There are more than 400 aerospace companies and suppliers in the metro. Defense-related manufacturers such as Lockheed Martin and Raytheon also have significant operations in the metro. Supporting these sectors is a highly educated workforce and a base of companies that serve as a magnet for startups, as Denver is often recognized as fertile ground for entrepreneurs.

Denver also draws alternative energy companies such as Ascent Solar Technologies and Vestas Wind Systems, both of which have local headquarters. The National Renewable Energy Laboratory in Golden, the Department of Energy's laboratory for renewable energy and energy-efficiency research and development, helps lure energy-related businesses.

MAJOR AREA EMPLOYERS & WORK FORCE

Employers provide nearly 1.4 million jobs in the Denver metro. The area’s importance as a transportation and distribution hub is illustrated by the sector’s dominance. The trade, transportation and utilities segment employs nearly 252,000 workers, or 18 percent of the workforce. Other major sectors include those serving the population, such as professional and business services, which accounts for another 17 percent; government, with 14 percent; and education and health services, comprising 13 percent of the local area jobs. Many healthcare companies are also significant employers.

The metro’s vast concentration of white-collar employment has a significant effect on the economy, as these positions are generally higher-paying. On the other hand, the manufacturing workforce is relatively small, accounting for 5 percent of all jobs, well below the national average.

During the next five-year period, all but one of the major employment sectors will register gains. The fastest-growing sectors will be construction, with a 3.6 percent gain; education and health services, with 3.0 percent; and leisure and hospitality with 2.9 percent annual growth through 2020.



Denver County Major Employers



- U.S. Government
- State of Colorado
- University of Colorado Systems
- Denver Public Schools
- City & County of Denver
- HealthONE Corporation
- SCL Health System
- Lockheed Martin Corporation
- CenturyLink
- Centura Health
- Kaiser Permanente
- Denver Health
- Comcast Corporation
- Frontier Airlines
- Children’s Hospital Colorado
- United Airlines
- Wells Fargo Bank
- DISH Network
- IBM Corporation
- Ball Corporation

“Denver is the number one place for business & careers.”

-Forbes

DENVER RANKINGS



#1 Best Place to Live
-U.S. News



Denver is named the "Baby Boomer" capital
-Movoto



#1 City for healthiest pets in the U.S.
-Purina



#1 City for Brewing Beer in the U.S.
-Movoto



Denver sees 300 days of sunshine per year.
-Denver.org



#1 Best Places for Business & Careers
-Forbes



#1 Denver has the largest park system in the U.S.
-Movoto



#2 Denver has 2nd highest education level
-Denver.org



#5 Healthiest City in the U.S.
-Forbes



#7 Colorado is the seventh fastest growing state
-Forbes

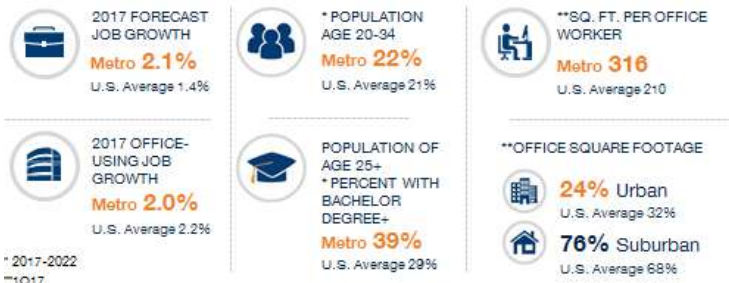


Demographics Statistics



DENVER METRO AREA

Demographic Highlights



Sales Trends

Competitive Bidding Environment Pushes Prices Higher in Denver

- During the last 12 months, transaction velocity for Denver's office properties rose 9 percent while interest in medical office assets also picked up.
- The average price rose 5 percent during the year to \$164 per square foot in March. Class A properties changed hands with prices near \$200 per square foot during this time.



Outlook: Investors seeking higher returns than the metro average will target office properties in southern Denver locales. Here, first-year returns average in the mid-to high-7 percent band.

Submarket Trends

Lowest Vacancy Rates 1Q17

Submarket	Vacancy Rate	Y-O-Y BasisPoint Change	Asking Rent	Y-O-Y % Change
Midtown	6.5%	110	\$24.76	9.3%
Northeast Denver	9.6%	100	\$18.64	-2.3%
Parker/Castle Rock	10.3%	-200	\$25.83	-0.1%
North Denver	11.7%	-140	\$20.61	0.3%
Aurora	12.2%	-180	\$18.83	5.1%
Colorado Blvd./Glendale	12.9%	60	\$24.51	5.6%
Northwest Denver	14.3%	280	\$21.58	4.5%
Southwest Denver	15.1%	0	\$18.88	0.5%
West Denver	15.1%	-10	\$22.28	4.5%
Broomfield	15.2%	210	\$27.27	3.1%
Overall Metro	14.90%	30	\$25.23	1.50%

SHARE OF 2016 TOTAL EMPLOYMENT



Denver County Demographics

Age

- 47.63% of the population is under 34
- 14.23% of the population is 65 or older
- Median age is 36.61 years old

Gender

- Females make up 51.66% of the population
- Males make up 48.34% of the population

Race

- White, 68.49% of the population
- Hispanic, 22.46% of the population
- African American, 11.36% of the population
- American Indian, 0.13% of the population
- Asian/Pacific Islander/Hawaiian, 5.56%

Housing

- Total Households, 169,191
- \$300,273 median home sale price
- \$691 median gross rent
- 2.22 persons per household

Population

- \$83,540 average household income
- 380,457 total population
- 2.11% Unemployment rate
- 72.86% White Collar Jobs
- 26.59% Blue Collar Jobs



Development Pro Forma

SUMMARY OF FINANCIAL ASSUMPTIONS

Unit Mix and Rent	
1 Bed / 1 Bath - 6 Units / 691 SF	\$1,250 to \$1,275
2 Bed / 2 Bath - 22 Units / 1,006 SF	\$1,600 to \$1,700
2 Bed / 1.5 Bath - 3 Units / 944 SF	\$1,600 to \$1,600
2 bed / 2 Bath Large - 2 Units / 1,300 SF	\$1,850 to \$1,850
Totals / Weighted Averages	961 SF @ \$1,606
Gross Annualized Rents	\$636,000

Property Size	
Gross Leasable Area:	31,720 SF
Lot Size:	34,126 SF

Development Costs	
Finished Cost (Inc. Land @ \$1.25M)	\$5,531,760
Down Payment (25%):	\$1,382,940
Number of Units:	33
Price Per Unit:	\$167,629
Price Per Square Foot	\$174.39

Property Resale Estimate	
Sales Price:	\$7,500,000
CAP Rate:	6.56%

Property Resale Debt Estimate	
Loan Amount:	\$5,625,000
Loan-to-Sales Price Ratio:	75%
Interest Rate:	4.00%
Term:	7 Years
Amortization Period:	30 Years
Annual Debt Service Payment (P & I Only):	\$322,255
Debt Coverage Ratio:	1.53

Income - Year 1	
Gross Scheduled Rent	\$636,000
Less: Vacancy (4.0%)/Deductions (GPR)	\$25,440
Total Effective Rental Income	\$610,560
Rubs	\$17,300
Effective Gross Income	\$627,860
Less: Expenses (23.5%)	\$147,722
Net Operating Income	\$480,138
Cash Flow	\$480,138
Debt Service	\$322,255
Net Cash Flow After Debt Service (9.07%)	\$157,883
Principal Reduction	\$99,058
Total Return (13.70%)	\$256,941

Expenses - Year 1	
Real Estate Taxes	\$44,000
Insurance	\$11,550
Utilities - Electric	\$2,400
Utilities - Water & Sewer	\$16,500
Utilities - Gas	\$3,600
Trash Removal	\$3,000
Repairs & Maintenance	\$23,100
Marketing & Advertising	\$2,400
General & Administrative	\$3,500
Management Fee (6.0%)	\$37,672
Total Expenses	\$147,722
Expenses Per Unit	\$4,476
Expenses Per Square Foot	\$4.66

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